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CHAPTER -1

INTRODUCTION

INTRODUCTION

An internship is a period of work experience offered by an organization for a limited period of time. The purpose of an internship program is to provide real world experience that enables you to put everything you have learned in to action. An internship can help you gain skills that can be applied to future jobs. Internships may be paid or unpaid. It is important to bridge gap between knowledge and its application through a series of interventions that will enables students to gain insights and exposure to the industry. The internship has been placed during 3rd semester of MBA program. Main purpose behind internship is to examine and understand the various measures which the bank are proposing to initiate for better management of their assets portfolio and also study how RBI measures will increase NPA levels for the banks.

Internship program is done at THE HUKKERI URBAN CO-OP. BANK LTD. HUKKERI- 591309. For the following topic;

"ORGANISATIONAL STUDY" on The Hukkeri Urban Co- operative Bank Ltd.

Co operative bank is financial entity which belongs to its members, who are at the same time the owners and the customers of their bank. Co operative banks generally provide their members with a wide range of banking and financial service like loans, deposits, banking accounts etc.

Co operative banks differ from other banks by their organization, their goals, their values and governance. Co operative banking is a retail and commercial banking organized on co operative basis. The main objective of co operative bank is to provide financial assistance to economically weaker sections of the society. Thus empowers and secures the poor and the low income groups. Such banks are registered under the co operative society's act.

MEANING OF ORGANISATIONAL STUDY

Organizational studies is the examination of how individuals construct organizational structures, processes and practices and how these in turn shape social relations and create institutions that ultimately influence people. Organizational studies comprise different areas that deal with the different aspects of the organizations; Many of the approaches are functionalist but critical.

Research also provide alternative frame for understanding in their field. Fundamental to the studies of management is organizational change. With the recent historical turn there is growing interest in historical organizational and historical research whose validity derives from historical veracity and conceptual rigor, enhancing understanding of historical contemporary and future directed social realities.

The Objectives of the study are;

- The familiarize the students with a business organization
- To familiarize them with the different departments in the organization and their functioning.
- To enable the students to understand how the key business process are carried out in organization.
- Understand how information is used in organization for decision making at various levels.
- To relate theory with practice.

The Indian Banking Companies Act of 1949 section 5(1)(b) has defined the term banking as “accepting for the purpose of lending”. There are thousands of co operative banks all over the country; all those banks are operating on the principle of co operation. We see many co operative banks struggling to compete with the big giants, i.e. nationalized Banks. The regulations formed by the government and RBI act as a threat for many co operative banks. Most of the co operative banks are operating by keeping the rural people as their target segment. When demonetizations happened the co operative banks were not able to get new currency because of the assumption of laundering black money, as Service is the only success mantra of these banks. After demonetization many co operative banks have been struggling for

survival. As majority of them are located at rural places and were the only banking solution available to rural people, they had to face serious problem regarding the exchange of old currencies.

HISTORY OF BANKING SECTOR IN INDIA

The government of India nationalized all the major banks, and it has remained under the ownership of central government from 1969. Since than the banking scenario has under gone a change at a ideological level, that is the banks structure of not just providing service but at the same time making profit is also a motive and thus are called as profit making public sector under taking.

CLASSIFICATION OFBANKS

Generally banks are classified on the basis of their functions. Such a classification of bank is called functional classification of banks. On the basis of their functions, banks are classified in to five categories. They are:

- Commercial bank
- Industrial bank or Investment banks
- Agricultural banks or Co operative banks
- Exchange banks
- Central banks

COMMERCIAL BANKS:

Commercial banks are banks which accept deposits from the public and lend them mainly to commerce for short periods. As they finance mainly commerce, they are called commercial banks. They are also called deposits bank, as they accept deposits from the public and lend them for short periods.

INDUSTRIAL BANKS:

Industrial banks are a which provides block or fixed capital to industries. As they finance industries, they are called industrial banks. They are also called investment

banks as they invest their funds in subscribing to the shares and debentures of industrial concerns with the object of providing long term finance to industries.

AGRICULTURAL BANKS:

Agricultural banks are banks which provide finance to agricultural banks. In most of the countries agricultural banks are organized on cooperative basis. For this reason, agricultural banks are also known as Co operative banks.

EXCHANGE BANKS:

Exchange banks are banks which finance mainly the foreign exchange business of a country. As they finance mainly the foreign exchange business of a country, they are called exchange banks. In India, the major part of the foreign exchange business is done by foreign exchange banks, and a small portion of India's foreign exchange business is done by Indian commercial banks.

HISTORY OF CO-OPERATIVE BANKS IN INDIA

The history of co-operative banks began in the year 1904. The co- operative society Act encouraged the co-operative movement in India; from 1904 to 1951 there was no major development in this sector in India, while co operative movement was deferent in countries like China, Russia, Japan, Germany and England. In 1963 a statutory body was set up by Ministry of Civil Supplies and co operation to promote co operative movement in India. The co operative movement gained importance in Kerala before we got independence, because it gave freedom to the people from those money lenders who were charging a higher interest rate.

CHAPTER-2

COMPANY PROFILE

2.1 BACKGOUND OF THE HUKKERI URBAN CO-OP BANK Ltd, HUKKERI:

The Hukkeri urban bank, established in October 1928, is one of the leading co operative banks in Hukkeri region. It has been a cornerstone of financial development and customer service in the area for almost a century. The bank operates under the license granted by the Indian Cooperative Act with Registration No. 536,P 5/9/1986, ensuring its compliance with the regulations and policies governing cooperative banking in India. Since its inception, the Hukkeri urban bank has been dedicated to fostering economic growth in the region by providing financial assistance to individuals, businesses and farmers. Its services include saving accounts, fixed deposits, loans, other financial solutions tailored to meet the needs of the local community.

The bank is particularly known for its customer focused approach and commitment to delivering accessible and affordable credit facilities. It plays a pivotal role in financing vehicles, agricultural activities and small businesses thereby contributing to the socio economic development of Hukkeri.



Location of the bank:

Head office:

The Hukkeri Urban Co-operative Bank Ltd., Hukkeri

Near bazaar road Hukkeri -591309

Tq: Hukkeri

Dist: Belagavi

Preamble

The Hukkeri urban co-operative bank ltd., Hukkeri is one of leading banks in Hukkeri taluk. It is situated in the boundary of Karnataka state. The following are the prime aims and objects of organization;

1. To uplift the rural
2. To facilitates the credit facility
3. To facilitates thrift among the rural people
4. To grant a loan to poor people in lower burden of interest
5. To help poor people as intermediaries

The co-operative bank got licenses under the Indian co-operative act.

Registration no: 536, P 5-9-1986, October 1928.

BRANCHES OF THE HUKKERI URBAN CO OPERATIVE BANK

Sl. No	Name of the Branch
01	Hukkeri (started 02-08-1928) Bazar road, Hukkeri-591309 Ph No: 08333-265067
02	Sankeshwar (started 02-11-1999) Ankali road, R.R Complex, Sankeshwar Ph No: 08333-274613
03	Peernawadi (started 01-03-2017) Jamboti road, Peernawadi Ph No: 0831-2411991
04	Kittur (started 07-04-2024) Kalmath road, Trimurti Complex, Kittur Ph No: 08288-274614
05	B. K. Kangrali (started 07-04-2024 Sai nagar, Main road B. K. Kangrali Ph No: 0831-2002656
06	Mudalagi (started 05-12-2024) Karemma circle, Main road, Mudalagi Ph No: 08334-251067

After the establishment of co-operative, it has been making efforts to satisfy the prime aims and goals of the bank in the rural area as well as in urban area and it facilitates to development of the society as well as the bank itself. The above the details of the different branches of the same bank. The bank is managed and controlled by its own board of directors. They are elected by the overall shareholder soft bank. The detail of the board of directors.

BOARD OF DIRECTORS THE HUKKERI URBAN CO OPERATIVE BANK

Sl. No	NAME	DESIGNATION
01	Chandrashekhar Patil	President
02	Prabhu Sambare	Vice- President
03	Vijaykumar Ravadi	Director
04	Gurulingappa Gandha	Director
05	Somashekar Pattanashetty	Director
06	Shivanad Nooli	Director
07	Mallikarjun Therani	Director
08	Shiddeshwar Heddurshetty	Director
09	Shankaragowda Patil	Director
10	Shubash Patil	Director
11	Gaurava Naik	Director
12	Suvarna Hundekar	Director
13	Mauneshwar Potadar	Director
14	Raju Bagalkot	Director
15	Mallikarjun Kotyagol	Director
16	Raju Bolamalla	Director
17	Mahadev Khadabadi	Director

STAFF MEMBERS :

Sl. No	NAME	DESIGNATION
01	Kadappa Bandai	General Manager
02	Basavaraj Gulla	Manager
03	Anil munoli	Manager
04	Ravindra Balikayi	Manager
05	Neeta Sardar	Manager
06	Prema Rajannavar	Accountant
07	Mahantesh Patil	Senior Assistant
08	Bipin Barigidad	Senior Assistant
09	Shankar Hiremath	Senior Assistant
10	Sujatha Patil	Junior Assistant
11	Iragowda Patil	Junior Assistant
12	Shivanand Bandai	Junior Assistant
13	Praveen Menasinkayi	Junior Assistant
14	Archana Hiremath	Junior Assistant
15	Sunil Sandi	Computer Programmer
16	Dundappa Hulloli	Attendant
17	Sachin Gawadi	Peon
18	Mallikarjuna Paramaj	Peon
19	Manoj Dhangi	Peon
20	Maruti magadum	Peon

PIGMY AGENTS

Sl. No	NAME	BRANCH
01	B. P. Patil	Hukkeri
02	S. M. Munnoli	Hukkeri
03	M. S. Parakanatti	Hukkeri
04	A.S. Suthagatti	Hukkeri
05	S. S. Kori	Hukkeri
06	D. B. Relekar	B. K. Kangrali
07	B. S. Hiremath	Sankeshwer
08	S. M Halijol	Sankeshwer
09	S. H. Pawar	Peeranwadi
10	S. U. Agasimani	Peeranwadi
11	M. A. Chinagudi	Kittur
12	B. N. Korishetty	Mudalagi

2.2 NATURE OF BUSINESS

The nature of the business of the The Hukkeri Urban Co-Operative Bank Ltd, Hukkeri is as under

- To raise funds by way of deposits from its members and non members.
- To grant short term, medium term and long loans to the members of the bank
- To formulate schemes of agricultural production for members and implement them
- To promoting financial inclusion
- Supporting small businesses and providing services.
- Providing loans and advances to small traders, self employed individuals, small scale industries and salaried employees.
- Providing personal loans, housing loans, vehicle loans, business loans and working capital loans.

2.3 VISION, MISSION AND QUALITY POLICY

VISION:

- To provide loan facility with low interest, and promote savings.
- To serve the local community with honest and reliable banking.
- To expand the organization.
- To provide safe, easy, and modern banking services.
- Enhancing shareholders and employees value.

MISSION:

- To provide safe affordable, and easy banking services to members and customers.
- To support small business, farmers, and individuals through loans and savings facilities.

- To follow honest, transparent, and co operative banking practices.
- To contribute to the economic development of hukkeri and nearby areas.

OBJECTIVES OF THE URBAN BANK

1. Encourage savings habits among the local people.
2. Provide safe and affordable banking services to members and customers.
3. To offers loans to small trades, farmers and individuals at reasonable rate.
4. Promote financial inclusion in rural and semi urban areas.
5. To follow cooperative principles and ethical banking practices.
6. Provide personal loans to nominal members, secured by fixed deposits or gold ornaments, as per the bank's rules.

QUALITY POLICY:

The major quality policy of the bank is to render extraordinary services to its members and customers providing excellent services maintaining healthy relationship with them and by utilizing professionally managed customer relations

2.4 WORKFLOW MODEL OF THE BANK

A work flow consists of a sequence of step. It is a depiction of a sequence of operations, declared as work of a person, a group of persons, an organization of staff or one or more simple or complex mechanisms. Workflow may be seen as many abstractions of real work segregated in work share, work split or other types of ordering. For control purposes Workflow may be in a view on real work under a chosen aspect. Thus serving as a virtual representation of actual work the flow being described often refers to a document that is being transferred from one step to another. The main activities of bank are accepting the deposits from the public, lending it to the needy and recovery of the same.

- **DEPOSITES**

First of all, customer needs to approach bank for depositing the money in the bank. Application form issued from the counter. The customer has to decide the period and nature of deposit with the help of counter staff. When the application is received from the customer, banker has to prepare a receipt will be issued by the bank. Saving bank and current account holders will receive the cheque book, if the customer keeps the minimum balance account.

- **LENDING**

Lending is an important function of banking process which is stalled firstly an application received from the customer. If the request of the customer received, prescribed application form for the fresh loan issued. When customer submits the filled application form from the bank after verified the document and securities etc. Loan will be sanctioned. After verification and monitoring the documents loan disbursement has to be done. Progress monitoring of loan and overdue position has to be analyzed by the top management and then work planning of recovering the loan amount in time has to be made.

2.5PRODUCT OR SERVICE PROFILE

DEPOSITS

The banks accept deposits from its account holders with the view to utilize them for providing them to those who are in need of money in the form of loans and advances. Depending on the type of deposits the interest will be credited to the accounts maintained by the customers. There are FOUR types of bank accounts

SAVINGS BANK ACCOUNT

Saving bank accounts are normally preferred by small income groups to save a small portion of their income in the aforementioned accounts. Small salaried groups, farmers and small traders normally maintain savings bank account. The banks provide a reasonable rate of interest on this type of account. A saving bank account can be maintained with an initial deposit of Rs. 100. In order to avail the facility of cheque, the savings bank account must be opened with balance of Rs.1000. there are some

restriction on the number of withdrawals mustn't cross a limit of 150 per annum. Normally RBI mentions the rate of interest to be given on savings bank accounts. Currently, the bank provides a 3% interest on its savings bank account.

FIXED DEPOSIT ACCOUNT

Fixed deposits are also called as Term Deposits'. Fixed deposits allow a customer to deposit his money for a fixed period of time. These deposits are repayable on the expiry of the fixed period. As the term will be fixed well be fixed well in advance, the banker may utilize such deposits towards loans and advances to other customers and thereby make use of deposits more profitably. The rate of interest on fixed deposits will be higher as compared to other types of deposit. The rate interest varies depending upon the term of deposit. Most of the banks provide

an interest in between 4.75% to 6.50%. fixed deposits is a better option to invest as compared to the risky ventures such as chit funds, share, etc.

INTEREST RATES OF DEPOSITS IN HUKKERI URBAN BANK

DEPOSITS	INTEREST RATE
Within 30 days to 180 days	5%
Within 181 days to 1 year	7%
From 1 year to 3 year	8.50%
Above 3 year	7.50%
Saving	3%
Pigmy	3%

For senior citizens (if the age limit is met) 0.50% high interest facility on deposits.

CURRENT ACCOUNT

Current accounts are for the businessmen who are engaged in trading and commercial activities. A current account is a running account which can be operated any number of times in a day, current accounts help the commercial undertakings to handle the cash transactions on a regular basis. There is no restriction for the number of transactions to be made in a day. But a banker needs to maintain a huge amount of liquid cash with him. No interest will be given on accounts. Some incidental charges may be levied by the banker as the maintenance expenses.

RECURRING DEPOSIT OR CUMULATIVE DEPOSIT ACCOUNT

Recurring deposits are introduced to cultivate a habit of saving among low income groups. The people who have a regular monthly income can agreed amount in a monthly basis. The deposit towards this account should be in the multiples of Rs5. Or Rs.10. there is a restriction on the withdrawal from the account. The account holder isn't allowed to withdraw money until the expiry of the agreed period. But under few circumstances the depositors are allowed to withdraw their savings well before the expiry of the stipulated time. In such accounts can be opened by an individual or by a person jointly and in case of a minor; by the guardian. The banker will give a passbook at the time of opening such account which needs to be submitted on the payment of each instalment on the last working day of the month. On the expiry of the agreed period the accumulated amount along with the interest will be repaid to the depositor.

LOANS

The loans and advances can be classified as under

1. Short Term loans
2. Medium Term loans
3. Long Term loans

SHORT TERM LOANS

Short term loans which are also called as production loans are granted to meet the expenses of seasonal agricultural operations such ae purchase of seeds, fertilizers and other related expenses. These loans are normally granted for a period of 12 months. These loans are normally repaid in instalments after the crop has been grown. Short term non agricultural loans are given at 12% interest rate.

MEDIUM TERM LOANS

Medium term loans which are also called as Developmental loans are granted for a period of 2 to 5 years. These loans are normally given for purchasing cattle, digging of well, construction of warehousing, purchase of agricultural implements, etc. medium term non agricultural loan are given at 2.5% interest rate.

LONG TERM LOANS

Long term loans which are also called as Term loans are granted for a period of 5 to 15 years. These loans are introduced for irrigation purposes, purchases of tillers and tractors, purchase of agricultural plots, further improvements in the land, etc. long term agriculture loans are given at 11% interest rate.

TYPES OF LOANS OFFERED BY BANK

Bank has provided different types of loans to the customers. Growth of customer and different sectors so those types of loans are as follows:-

Types of loans

1. Education loan:-

It is given to students to wish to study in India or abroad. The student should be an Indian citizen. He should have secured seat through an entrance test or merit basis selection.

2. Housing loan:-

The purpose of this loan is to build a house, purchase a house or flat or mark repairs to the existing house. It is given to salaried persons, professionals, businessmen, farmers and resident Indians. There is no maximum limit for urban areas. But for rural areas it is 15 lakhs. The rate of interest is 9.25%

3. Consumer loan:

It is given to purchase consumer durables or computers. The rate of interest is 13.5% it is given to salaries or professionals the maximum amount is Rs 1.50 lacks the processing fee charged by the bank is 1% of loan amount.

4. Vehicle loan scheme:-

It is offered to purchase a two-wheeler or four-wheeler it is given to salaried persons, professionals and businessman. The maximum amount for two wheelers is Rs 50000 and for four-wheeler it is 15 lacks the rate of interest up to 3 years is 9.75% and above 3 years is 10.75% months. The repayment period for two-wheeler 60 months and for four-wheeler is 84 months.

5. Loan for agriculturists:-

Following are the schemes offered to agriculturists:

- **Minor irrigation for agriculturist**

The purpose of this facility is for digging new wells, revitalization of existing well's purchase of oil engine, electric motor, and etc. the agriculturist should own land. The amount is given as per NABBARD unit costs. Hypothecation of movable assets or mortgage of land is taken as security. The repayment period is 7 to 11 years.

- **Farm mechanization for agriculturists:**

The purpose of this facility is to purchase a tractor, harvester, threshers or other farm equipment's. The agriculturists should own at least 8acres of irrigated land. The amount given is as per the cost of machinery. The repayment period is 7 to 9 years. Under this scheme insurance is given to machinery.

- **Animal husbandry:**

The purpose of this facility is to purchase of cows/buffaloes, poultry-broiler farm, sheep goat rearing etc. the agriculturist should have necessary expertise. The amount given is as per NABARD unit costs. The repayment period is 4 to 5 years. Insurance of animal is essential.

- **Horticulture**

The purpose is cultivation of fruit crops like mango. pomegranate, grapes etc. the amount is given as per NABARD unit costs. The repayment period is 15 years. The security needed is mortgage of land or hypothecation of crop.

- **HI-tech projects**

Agriculturist should have knowledge about advanced techniques farming. The purpose is for hi tech projects. The amount is given as per project costs. The security asked is the hypothecation of goods or collateral security. The repayment period is 6 to 8 years.

- **Consumer loans to farmers.**

The purpose is to purchase consumer durables. The maximum amount given is Rs. 50000.The repayment period is 3 to 5 years. The eligibility is that the agriculturalist Income per annum should be above Rs.50000

- **Scheme for financing two wheelers to farmer**

The purpose is to purchase a two-wheeler. The eligibility is than the agricultural income should be above Rs.50000 the maximum amount given isRs.50000 there payment period is 3 to 5 years.

6. Solar loans: -

The purpose of this loan is to install solar home system for domestic and commercial use. The maximum amount given for domestic users is Rs 25000.and for entrepreneurs is Rs.200000. The rate of interest is 12.5%. The repayment period is 5 years.

7. Personal loans: -

The purpose is to meet personal expenses. The maximum amount is 1.50 lacks. The rate of interest is 14% the processing fee charged is 1% of loan amount. The eligibility is salaried or professionals.

LOAN INTEREST RATES:-

The bank is providing different types of loan facility to its members such as short-term loans, cash credit loans, gold loans and vehicle loans. The term and rate of the different loan schemes is as follows:

LOAN INTEREST RATES IN URBAN BANK HUKKERI

LOANS	INTEREST RATE
Guaranteed loan	15%
For cash credit loans	12%
For gold jewellery and car loans	11%
5 lakhs per month on loans above Rs 12% in case of default for interest pay	14%
For salary based loans	13%
On all other types of loans	14%

The above loan schemes are provided by every member of the bank. The member who wants get a loan; he must provide the following documents:

1. Voting card, Pan Card, two photos.

2. Voting card, Two Photos of the nominee.

3. Bond paper

4. Bond paper of the nominee.

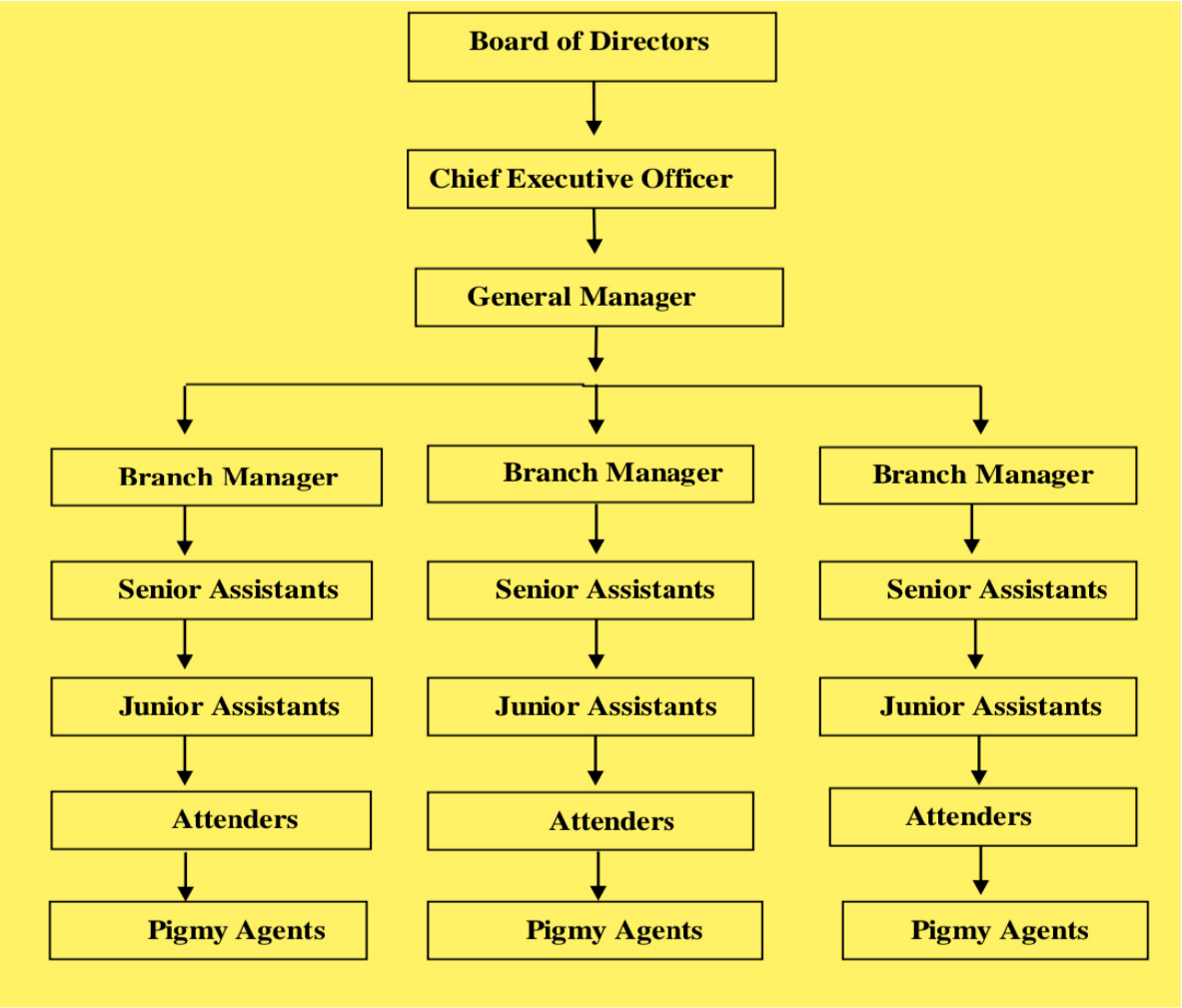
From the above documents a member must submit at least one address proof and identity proof, after submitting above documents along with application of the loan to chief executive officer, he forwards it to Board of Directors. The Board of Directors takes the final decision to section or reject the loan

CREDIT FACILITIES:

1. **Cash credit:** It is short term cash loan to a company. The bank provides this type of credit facility only after required security to secure the loan.

2. **Overdraft:** It is given when then the withdrawals from a bank account exceed the available balance.
3. **Term loans:** These are commercial loans. They carry fixed interest rates. The repayment schedule is monthly or quarterly.
4. **Bills discounting:** The bank buys a bill i.e., a bill of exchange or a promissory note before its due and credits the value of the bill after, a discounts charge to a customer's account. The transaction is practically an advance against the security of the bill and discount represents the interest on the advance from the date from the purchase of the bill unit its due for payment.

2.6OWNERSHIP PATTERN



2.7ACHIEVEMENTS

- Urban bank has successfully served its customer for an impressive 97 years.
- Best co operative bank award: the bank has been honered with the belagavi district manager best co -operative bank award, recognizing its excellence and contributions to cooperative banking.

CHAPTER -3

SWOT ANALYSIS

SWOT ANALYSIS OF THE HUKKERI URBAN CO-OP BANK Ltd HUKKERI

SWOT Analysis is a useful tool for understanding the strengths, weaknesses, opportunities and threats of an organization. SWOT Analysis helps an organization to form strategies to face the competition from the rivals in the locality. Strength tells the powers of an organization. How you can perform better than the other players, the strengths of rivals, etc. weaknesses help the organization to understand the areas where the organization needs to improve. Threats specify the problems or the obstacles faced by the organization. Obstacles may be the competitors, government policies, outdated technology, unavailability of cash or resources, etc. The SWOT Analysis of the THE HUKKERI URBAN CO-OP BANK LTD HUKKERI has been arrived at after considering the opinion of the members of the board, employees, customers and the general public. Following g is the SWOT Analysis of the The Hukkeri Urban Co-Op Bank Ltd:

STRENGTHS:

- The bank has been established for the needs of farmers and small traders. It grants loans to its members in very short span of time as compared to other nationalized banks.
- Most of the government schemes for agricultural sector are introduced through co operative banks. very easy for the bank to retain its local customers.
- One of the major strength of the bank is the workforce. All the staffs are from local area. All the customers needn't to be literate. In such cases the bank staffs help those people even in filling a simple pay-in-slip, withdrawal slip etc. in nationalized banks the staffs are so rude.
- The bank grants loans within a period of five to six days which is highly impossible in any other banks. In nationalized banks you need to waste of your valuable life in getting loan.
- Bank operates in local language.
- It has a strong base of institutional customers.

WEAKNESSES:

- The bank does not offer debit or credit cards.
- There is no specific marketing department.
- The bank doesn't have a separate field officer to collect the due loans. As a result the overdue has crossed its limit.

OPPORTUNITIES:

- The bank can attract new customers by offering new deposits and loan products.
- Its customer base has grown significantly due to good customer relations.
- There is potential to improve and expand the regional office infrastructure to attract more customers.

THREATS:

- The bank faces competition from other banks like the state bank of India, Canara bank, ICICI BANK, and HDFC BANK.
- Constant pressure to be cost competitive to meet customer exception.
- Government policy changes could negatively affect interest rates and financial reserves.
- Now days we can find many co operative banks indulging in frauds and misappropriation. There are few people who place the entire co operative sector under same roof. They think that their money deposited in the co operative banks. Such an opinion in the minds of general public becomes a threat for the co operative bank.
- Lack of qualified and skilled employees.

CHAPTER -4

MCKENSEY 7'S MODEL

And

PORTER'S FIVE FORCE MODEL

MCKENSY 7'S FRAMEWORK

The 7s framework for management analysis was developed by McKinsey's and company 7s model provides an effective way of analyzing an organization in terms of dynamic relationships among 7 key elements namely structure, system, strategy, style, staff, shared values and skills.

The seven Elements:

The McKinsey's 7s model involves seven independent factors which are categorized as either hard or soft elements.

Hard Elements:

Hard elements are easier to define or identify and management can directly influence them.

These are strategy statement, organization charts and reporting lines and formal processes and IT system.

Soft Elements:

Soft elements on the other hand, can be more difficult to describe and are less tangible and more influenced by culture. However these soft elements are as important as the hard elements if the organization is going to be successful.

Hard Elements	**Soft Elements**
Strategy	Shared values
Structure	Skills
System	Styles
	Staff

- **STRATEGY**

The strategies are set keeping both internal and external environment in mind. Separate strategies are set for good employment. Strategies are also set to achieve their mission effectively. It is a plan of action designed for achieving a particular goal usually over a long period of time. Company follows strategies of discovering new customers,

satisfying existing customer needs, technology up gradation and adopting smart banking practices.

- **SHARED VALUES:**

Shared values are related to the actual accepted behaviour within the workplace. Core values of the co operative bank are to protect the people from the exploitation. So the culture of self help and mutual help is the main motto of these organizations. A co operative organization. The main difference a co operative society and private enterprise is that the co operative society is based on certain principles while the private enterprise is not co operative principles can defined as, " a set of rules which govern the life and activities of an organization". A co operative instruction can function only within the framework of these principles these are universal in character.

- **STRUCTURE:**

This represents the way the organization is structured and gives details of who reports to whom. The structure of organization is made up of its cooperate hierarchy, chain of command and division of work. The Hukkeri urban co-operative bank is well structured. All sections are classified into different departments and its efficient working is examined by the general managers.

- **SYSTEM:**

The daily activities and procedures that staff members engage in to get job done. Systems are the procedures and process such information systems, manufacturing processes, budgeting and control processes. The main system that adopted is recovery management and monitoring department system operational risk management system.

- **SKILLS:**

Skill is the ability to transfer of knowledge to action of employees of the organization to achieve its goals. Skills comprise the talents and capabilities of the organization staff

and management. The experienced and trained people are essential for executing the daily functions and also to development of the organization. A good mixture of experienced and qualified people will definitely improve the work culture of the bank. Employees of this company are able to understand local language and so that they can easily communicate with the customers. Training programs are so designed that it will help enhance the skills the employees posses in banking.

- **STYLE:**

Style represents the way in which the management behaves and collectively spends its time to achieve organizational goals. Co operative banks are operating based on certain principles. Democratic member control is the most important principle which governs these institutions. Participative method and decision making process, which is as a result of discussion with directors, members and different levels employees on various issues. It will be more effective for the top management of decision making. Style includes the style of leadership adopted. Each level in this bank enjoys its own specified amount of authority.

- **STAFF:**

The employees and their general capabilities in order to improve the capabilities of the employee's good salary along with different benefits like PF, incentives, yearend are also provided. Staff element also concerned with human resource planning, recruitment, training and motivation.

Porter's Five Forces Model

Porter's Five Forces Model is used to analyze the competitive environment of an organization. This model helps in understanding the intensity of competition and the

factors affecting the performance of Hukkeri Urban Co-operative Bank, the model explains the level of competition and challengers faced in the local banking sector.

- **Threat of New Entrants – Low to moderate**

The threat of new entrants in the banking industry is relatively low. The banking sector is highly regulated by the Reserve Bank of India (RBI), and the establishment of a new urban co-operative bank requires substantial capital, legal approvals, and compliance with strict regulatory norms. These entry barriers protect existing banks like Hukkeri Urban Co-operative Bank from new competitors. However, the presence of fintech companies and non-banking financial institutions creates moderate competitive pressure.

- **Bargaining Power of Customers – Moderate**

Customers possess high bargaining power due to the availability of multiple banking alternatives such as public sector banks, private banks, regional rural banks, and digital banking platforms. Customers can easily switch banks based on better interest rates, service quality, loan facilities, and digital services. Therefore, the bank must focus on customer satisfaction and relationship management to retain its customers.

- **Bargaining Power of Suppliers – Low**

The bargaining power of suppliers is low. Suppliers include depositors, employees, and technology service providers. Since deposits are collected from a large number of customers and technology vendors are available in abundance, no single supplier has significant influence over the bank. This reduces dependency on any particular supplier.

- **Threat of Substitute Products and Services – High**

The threat of substitutes is high. Financial services offered by Hukkeri Urban Co-operative Bank can be substituted by private banks, NBFCs, microfinance institutions, digital wallets, UPI platforms, and mobile banking applications. These substitutes offer

convenience, faster transactions, and competitive pricing, increasing the pressure on traditional banking institutions.

- **Competitive Rivalry Among Existing Banks – High**

The level of competitive rivalry is high. Hukkeri Urban Co-operative Bank faces competition from public sector banks, private sector banks, regional rural banks, and other co-operative banks operating in the same geographical area. Competition exists in terms of interest rates, loan products, customer service quality, and adoption of digital banking technologies.

The Porter's Five Forces analysis indicates that Hukkeri Urban Co-operative Bank operates in a highly competitive environment. While regulatory barriers limit new entrants, high customer bargaining power, strong competitive rivalry, and the availability of substitute financial services pose significant challenges. To remain competitive, the bank should strengthen customer relationships, improve service quality, and adopt modern banking technologies.

CHAPTER-5

ANALYSIS OF FINANCIAL STATEMENT

5.1 FINANCIAL STATEMENT:

Financial Statements are documentation of an organizations financial transactions. A financial statement helps in gaining a clearer insight into the financial status of a company or entity.

Balance sheet on the 30/03/2025

Particulars	**Amt**	**Amt**
EQUITY AND LIABILITIES		
CAPITAL		**2,41,45,765**
Authorized share capital	2,41,45,765	
FUNDS		
Reserve fund	3,33,54,150	
Bad debt reserve fund	2,25,74,304	
Fund on productive assets	22,75,000	
Investment depreciation fund	3,36,180	
Building fund	1,16,02,101	
Special reserve fund	9,47,023	
Charitable fund	2,16,021	
Pension fund	3,69,714	
Member welfare fund	6,21,086	
Employees welfare fund	9,04,474	**7,32,00,053**
DEPOSITS		
Savings deposits	8,26,48,371.59	
Current deposits	4,18,36,824.88	
Term deposits	82,05,82,900	**94,50,68,096.47**
BARROWINGS		
OTHER LIABILITIES		
Interest payable (on deposits)	3,15,04,105	
Interest due (contra)	2,27,81,633	
Suspense A/c	3,53,227.27	
Divided	12,85,589	
Audit fees	1,50,000	

Payable income tax	59,240	
Other payables	8,91,985.74	**5,70,25,780.01**
NET PROFIT	87,25,126	**87,25,126**
TOTAL		**110,81,64,820.48**
ASSETS		
CASH ON HAND		**8,88,07,415.39**
CASH AT BANK		**15,31,50,780**
Term deposits		
INVESTMENT		
In central and state govt security	22,87,91,809	
In share of other co operative societies	30,575	**22,88,22,384**
LOAN AND ADVANCES		
Short term and cash loans	21,97,13,370	
Medium term loans	9,41,07,947	
Long term loans	27,51,58,602	**58,89,79,919**
Interest receivable		
On loans and investment	1,63,71,948	
Interest due (contra)	2,27,81,633	**3,91,53,581**
FIXED ASSETS		
Buildings	10,03,234	
Furniture	26,31,560	**36,34,794**
OTHER ASSETS		**56,15,947.04**
TOTAL		**110,81,64,820.48**

Balance sheet on the 30/03/2024

Particulars	Amt	Amt
EQUITY AND LIABILITIES		
CAPITAL		**2,09,89,948**
Authorized share capital	2,09,89,948	
FUNDS		
Reserve fund	2,74,97,409	
Dividend equalization fund	5,44,296	
Bad debt reserve fund	2,35,87,773	
Fund on productive assets	14,25,000	
Investment depreciation fund	3,36,180	
Building fund	1,01,34,463	
Special reserve fund	8,01,064	
Charitable fund	1,72,368	
Pension fund	2,89,408	
Member welfare fund	5,15,652	
Employees welfare fund	7,73,515	**6,60,77,128**
DEPOSITS		
Savings deposits	9,40,77,228.64	
Current deposits	4,42,26,936.71	
Term deposits	65,17,31,480	**79,01,35,645.35**
BARROWINGS		
OTHER LIABILITIES		
Interest due (contra)	1,80,74,108	
Interest payable (on deposits)	2,46,37,425	
Suspense A/c	5,67,629.27	
Divided	12,13,176	
Audit fees	2,00,000	
Payable income tax	4,00,000	
Other payables	6,46,021.06	**4,57,38,359.33**

NET PROFIT	1,00,31,560	**1,00,31,560**
TOTAL		**93,29,72,6540.68**
ASSETS		
CASH ON HAND		**7,71,87,647.81**
CASH AT BANK		**22,41,22,535**
Term deposits		
INVESTMENT		
In central and state govt security	14,.84,72,979	
In share of other co operative societies	30,575	**14,85,03,632**
LOAN AND ADVANCES		
Short term and cash loans	17,70,88,999	
Medium term loans	4,74,06,015	
Long term loans	21,87,08,618	**44,32,03,632**
Interest receivable		
On loans and investment	1,56,39,242.83	
Interest receivable (contra)	1,80,74,108	**3,37,13,350.83**
FIXED ASSETS		
Buildings	11,14,704	
Furniture	12,56,177	**23,70,881**
OTHER ASSETS		**38,71,039.04**
TOTAL		**93,29,72,6540.68**

Balance sheet on the 30/03/2023

Particulars	Amt	Amt
EQUITY AND LIABILITIES		
CAPITAL		**1,90,12,068**
Authorized share capital	1,90,12,068	
FUNDS		
Reserve fund	2,24,18,666	
Dividend equalization fund	4,95,266	
Bad debt reserve fund	2,44,47,475	
Fund on productive assets	9,25,000	
Investment depreciation fund	3,36,180	
Building fund	87,37,192	
Special reserve fund	6,53,947	
Charitable fund	1,30,338	
Pension fund	2,05,348	
Member welfare fund	4,24,862	
Employees welfare fund	6,26,425	**5,94,00,726**
DEPOSITS		
Savings deposits	9,03,74,382.85	
Current deposits	1,79,04983	
Term deposits	59,96,25,377	**70,79,04,698.98**
BARROWINGS		
OTHER LIABILITIES		
Interest due (contra)	1,83,88,801	
Interest payable (on deposits)	2,15,07,301	
Suspense A/c	6,06,134.27	
Divided	11,87,105	
Audit fees	3,00,000	
Payable income tax	1,00,000	
Other payables	4,31,855	**4,25,21,196.27**
NET PROFIT	1,01,09,240	**1,01,09,240**

TOTAL		**83,89,47,928.42**
ASSETS		
CASH ON HAND		**5,89,57,429.16**
CASH AT BANK		**22,36,05,314**
Term deposits		
INVESTMENT		
In central and state govt security	12,62,37,137	
In share of other co operative societies	30,575	**12,62,67,712**
LOAN AND ADVANCES		
Short term and cash loans	13,43,93,692	
Medium term loans	4,33,74,372	
Long term loans	21,60,11,181	**39,37,79,245**
Interest receivable		
On loans and investment	1,83,88,801	
Interest due (contra)	1,34,50,708	**3,18,39,509**
FIXED ASSETS		
Buildings	12,38,564	
Furniture	10,99,458	**23,38,022**
OTHER ASSETS	21,60,697.04	**21,60,697.04**
TOTAL		**83,89,47,928.42**

FINANCIAL ANALYSIS:

5.2 COMMON SIZE STATEMENT ANALYSIS

Particulars	31/03/2025	%	31/03/2024	%	31/03/2023	%
EQUITY AND LIABILITIES						
Share capital	24145765	2%	20989948	2%	19012068	2%
Reserves fund	73200053	7%	66077128	7%	59400726	7%
Deposits	945068096	85%	790135645	85%	707904698	84%
Other liabilities	57025780	5%	45738359	5%	42521196	5%
Net profit	8725126	1%	10031560	1%	10109240	1%
TOTAL	**1108164820**	**100%**	**932972640**	**100%**	**838947928**	**100%**
ASSETS						
Cash on hand	88807415	8%	77187647	8%	58957429	7%
Cash at bank	153150780	14%	224122535	24%	223605314	27%
Investments	228822384	21%	148503554	16%	126267712	15%
Loans and advances	588979919	53%	443203632	48%	393779245	47%
Interest receivable	39153581	4%	33713350	4%	31839509	4%
Fixed assets	3634794	0%	2370881	0%	2338022	0%
Other assets	5615947	1%	3871039	0%	2160697	0%
TOTAL	**1108164820**	**100%**	**932972640**	**100%**	**838947928**	**100%**

INTERPRETATION:

The common size statement shows the percentage contribution of each item to the total assets and total liabilities for the year 2023,2024 and 2025

- **Equity and Liabilities:**

Share capital remains constant at around 2% all the three years, showing stable ownership structure. Reserves and fund also stable at about 7% indicating internal strength. Deposits from the major portion of total liabilities, contributing around 84-85% which shows that the bank mainly depends on deposits for its fund. Other liabilities are consistently around 5% reflecting remains at1% each year, showing stable but limited profitability.

- **Assets:**

Loans and advances contribute the largest share of assets and have increased from 47% in 2023 to 53% in 2025, indicating growth in lending activities. Investments have also increased from 15% to 21% showing better utilization of surplus fund. Cash on hand remains stable at around 7-8% ensuring adequate liquidity. However, cash at bank has declined from 27% in 2023 to 14% in 2025, suggesting fund are being shifted remains at 4% indicating steady interest income. Fixed assets from a very small portion, showing a service oriented structure with low investment in physical assets. Other assets are minimal, indicating efficient asset management.

Overall, the balance sheet shows healthy growth with increasing deposits and loans. The bank has efficiently shifted funds from idle cash to income generating assets while maintaining stable capital structure and liquidity. The financial position appears stable and well managed over the three year period.

5.3 COMPARATIVE ANALYSIS:

COMPARATIVE BALANCE SHEET FOR THE YEAR 2025 & 2024

Particulars	**31/03/2025**	**31/03/2024**	**Absolute Change**	**%**
EQUITY AND LIABILITIES				
Share capital	24145765	20989948	3155817	15%
Reserves fund	73200053	66077128	7122925	11%
Deposits	945068096	790135645	154932451	20%
Other liabilities	57025780	45738359	11287421	25%
Net profit	8725126	10031560	-1306434	-13%
TOTAL	**1108164820**	**932972640**	**175192180**	**19%**
ASSETS				
Cash on hand	88807415	77187647	11619768	15%
Cash at bank	153150780	224122535	-70971755	-32%
Investments	228822384	148503554	80318830	54%
Loans and advances	588979919	443203632	145776287	33%
Interest receivable	39153581	33713350	5440231	16%
Fixed assets	3634794	2370881	1263913	53%
Other assets	5615947	3871039	1744908	45%
TOTAL	**1108164820**	**932972640**	**175192180**	**19%**

INTERPRETATION:

The comparative balance sheet shows an overall increase of 19% in total assets and liabilities, indicating growth in the size of the organization during 2024–25.

- **Equity and Liabilities:**

Share capital increased by 15%, reflecting additional capital infusion and strengthening of the capital base. Reserves and surplus rose by 11%, showing improved internal funding capacity. Deposits increased significantly by 20%, indicating higher public confidence and increased mobilization of funds. Other liabilities increased by 25%, which may reflect higher operational or short-term obligations. Net profit declined by 13%, indicating reduced profitability during the year, which is a matter of concern.

- **Assets:**

Cash on hand increased by 15%, improving immediate liquidity. Cash at bank decreased by 32%, suggesting utilization of bank balances for investments or lending activities. Investments increased sharply by 54%, showing a focus on income-generating avenues. Loans and advances increased by 33%, reflecting expansion in lending operations. Fixed assets increased by 53%, indicating capital expenditure and expansion. Other assets rose by 45%, showing diversification of asset holdings.

Overall, while the organization expanded its operations and asset base, the decline in net profit suggests a need for better cost control and efficiency.

COMPARATIVE BALANCE SHEET FOR THE YEAR 2023 & 2024

Particulars	**31/03/2024**	**31/03/2023**	**Absolute Change**	**%**
EQUITY AND LIABILITIES				
Share capital	20989948	19012068	1977880	10%
Reserves fund	66077128	59400726	6676402	11%
Deposits	790135645	707904698	82230947	12%
Other liabilities	45738359	42521196	3217163	8%
Net profit	10031560	10109240	-77680	-1%
TOTAL	**932972640**	**838947928**	**94024712**	**11%**
ASSETS				
Cash on hand	77187647	58957429	18230218	31%
Cash at bank	224122535	223605314	517221	0%
Investments	148503554	126267712	22235842	18%
Loans and advances	443203632	393779245	49424387	13%
Interest receivable	33713350	31839509	1873841	6%
Fixed assets	2370881	2338022	32859	1%
Other assets	3871039	2160697	1710342	79%
TOTAL	**932972640**	**838947928**	**94024712**	**11%**

INTERPRETATION:

The comparative balance sheet for 2023–24 shows an overall growth of 11%, indicating moderate expansion.

- **Equity and Liabilities:**

Share capital increased by 10%, strengthening ownership funds. Reserves increased by 11%, indicating steady accumulation of profits. Deposits grew by 12%, showing

improved trust and fund mobilization. Other liabilities increased by 8%, reflecting normal operational growth. Net profit declined marginally by 1%, indicating stable but slightly reduced profitability.

- **Assets:**

Cash on hand increased by 31%, improving liquidity. Cash at bank remained almost unchanged, showing stable banking balances. Investments increased by 18%, indicating prudent investment strategy. Loans and advances increased by 13%, showing steady growth in lending activities. Fixed assets increased marginally by 1%, indicating limited capital expenditure. Other assets increased significantly by 79%, showing expansion in miscellaneous assets.

In conclusion, the organization showed steady growth in 2023–24, whereas 2024–25 reflects faster expansion but with declining profitability, highlighting the need to focus on improving earnings while sustaining growth.

5.4 TREND ANALYSIS

Particulars	31/03/2023	Trend %	31/03/2024	Trend %	31/03/2025	Trend %
EQUITY AND LIABILITIES						
Share capital	19012068	100%	20989948	110%	24145765	127%
Reserves fund	59400726	100%	66077128	111%	73200053	123%
Deposits	707904698	100%	790135645	112%	945068096	134%
Other liabilities	42521196	100%	45738359	108%	57025780	134%
Net profit	10109240	100%	10031560	99%	8725126	86%
TOTAL	**838947928**	**100%**	**932972640**	**111%**	**1108164820**	**132%**
ASSETS						
Cash on hand	58957429	100%	77187647	131%	88807415	151%
Cash at bank	223605314	100%	224122535	100%	153150780	68%
Investments	126267712	100%	148503554	118%	228822384	181%
Loans and advances	393779245	100%	443203632	113%	588979919	150%
Interest receivable	31839509	100%	33713350	106%	39153581	123%
Fixed assets	2338022	100%	2370881	101%	3634794	155%
Other assets	2160697	100%	3871039	179%	5615947	260%
TOTAL	**838947928**	**100%**	**932972640**	**111%**	**1108164820**	**132%**

INTERPRETATION:

The trend analysis compares the financial position of the organization for the years 2023, 2024, and 2025, taking 2023 as the base year (100%).

- **Equity and Liabilities**

Share Capital shows a steady increase from 100% in 2023 to 127% in 2025, indicating strengthening of the capital base. Reserves and Funds also increased consistently to 123% in 2025, showing better retention of earnings. Deposits rose significantly to 134% in 2025, reflecting improved public confidence and higher mobilization of funds. Other Liabilities increased to 134% in 2025, indicating growth in obligations along with expansion of activities. Net Profit declined from 100% in 2023 to 86% in 2025, which is a matter of concern and suggests reduced profitability. Total Equity and Liabilities increased to 132% in 2025, showing overall growth in the size of the organization.

- **Assets**

Cash on Hand increased sharply to 151% in 2025, indicating better liquidity. Cash at Bank declined to 68% in 2025, suggesting funds may have been diverted to investments or loans. Investments increased substantially to 181% in 2025, reflecting a focus on income-generating avenues. Loans and Advances rose steadily to 150% in 2025, indicating expansion in lending activities. Interest Receivable increased to 123%, showing higher interest income expected. Fixed Assets grew to 155%, indicating investment in long-term assets. Other Assets showed a sharp rise to 260%, suggesting diversification or accumulation of miscellaneous assets. Total Assets increased to 132% in 2025, matching the growth in total liabilities and equity.

The organization has shown strong growth in assets, deposits, and capital over the period. However, the continuous decline in net profit is a concern and indicates the need for better cost control and efficiency to improve profitability in the future.

CHAPTER-6

LEARNING EXPERIENCE

LEARNING EXPERIENCE

An internship is an opportunity to learn to understand the actual work environment. It provides lot of experience and teaches lessons. I did my internship at THE HUKKERI URBAN CO-OP BANK LTD., HUKKERI 591309

During my internship all the employees in the organization were friendly to me as they considered me as team member. They were very co operative. In this period learnt many things such as co operative transactions, what are the factors that affect the rising and falling of co operative.

- During my internship period I got to learn about how co operative banks manage challenges and how they try overcoming it.
- I acquired knowledge about employees, customer and board of directors.
- It helped me to understand the organization working structure.
- I got an opportunity to learn how to deal with customers.
- I got an idea about various deposits and loans offered by bank.
- I experienced how inter personnel relationship results in efficient working of organization.

CONCLUSION

The Hukkeri Urban Co-Op. Bank Ltd,.Hukkeri has been successfully running from past as many years and in striving to work better to cope up with the changing needs and competition persistently faced by them. The bank not only deals with banking activities it also offers with some other services to its members.

The activities I learnt during my internship are really useful for me in future to face challenges in a working environment. I really appreciate the way I have been guided through this internship program with The Hukkeri Urban Co-Op Bank. Internship is a great platform for students to understand and adapt to different work experiences. This internship helped me to gain experience about the banking culture.

My internship with The Hukkeri Urban Co-Op Bank Hukkeri was good. I was able to gain practical knowledge, work in a good environment, and make connection that will help me in future.

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